CASE STUDY: RECREATED FROM PUBLIC REPORTING

K-12 Hardware Tablet EdTech (Historical Pitch)

Recreated strictly from published investigative reports and post-mortems of pre-loaded educational tablet sales companies (2019-2022).

Hardware-Locked High-Ticket EdTech Sales

• Product: Locked Android tablet loaded with pre-recorded video lectures for K-12 and competitive exams.
• Pricing: ■65,000 upfront fee financed through 3rd-party non-banking financial companies (NBFCs).
• Sales Force: Aggressive commission-only outbound tele-calling and in-home sales visits targeting parents in Tier-2/3 cities.
• Flaw Flagged in Post-Mortem: Sky-high refund requests, high NBFC loan defaults, and massive customer acquisition cost exceeding initial cash collections.

The Hidden Burn & Churn Dynamics

- Reported CAC: ■18,000 per student (excluding sales incentives and branch overheads).
- True Blended CAC: ■42,000 once field travel, cancellations, and sales incentives are recognized.
- Renewal Rate: Less than 8% renewal after year 1 (curriculum completion rate below 12%).
- Net Burn: ■15 Crore monthly burn against volatile collections with high accounts-receivable aging.

Structural Diligence Red Flags

1. Negative Working Capital: Relying on NBFC advances while customer cancellation rate exceeded 25%.
2. Regulatory Scrutiny: Consumer protection notices regarding high-pressure doorstep sales tactics.
3. Delayed Audits: Multi-year delay in filing statutory audited financial statements with Ministry of Corporate Affairs.
4. Post-Mortem Finding: Unsound unit economics hidden behind rapid top-line loan-driven sales growth.